

21 Jul 2026 06:33:15 ET | 13 pages

Chagee Holdings (CHA.O)

2Q26E Earnings Preview; Reducing TP & Estimates

CITI'S TAKE

We forecast Chagee's group same-store GMV to decline by ~15% YoY in 2Q26E, rough in line with that in 1Q26 (-16.0% YoY). We expect its 2Q26E non-GAAP NP to be largely flat QoQ (vs. Rmb507m in 1Q26) and down ~20% YoY. We anticipate its YoY decline in same-store GMV to sequentially improve in 2H26E, on a low comp base (due to its reluctance to participate in delivery platforms' subsidy war in 2H25). With plans to slow openings in 2026, Chagee "optimized its organization" in 4Q25, per mgmt commentary on its earnings call. We believe this included HQ-level admin headcount cut, with potentially more pronounced opex savings in 2H26E. We lower our 2026E/27E non-GAAP NP forecasts by 25%/30% and cut our DCF-based target price to US\$15.2 (from US\$24.6); we also introduce 2028E estimates. We expect the market to have higher conviction on Chagee's recovery if its operation sequentially improves in 2H26E.

2Q26E results preview — We expect Chagee's average monthly GMV per store to be ~Rmb350k+ in China in 2Q26E (vs. Rmb356k in 1Q26, Rmb404k in 2Q25) and group sales to stay largely flat YoY in 2Q26E. Since 2026, its China franchisees switched to a GMV-based revenue-sharing model, where Chagee takes a higher fee rate but reduces its markup on sales to franchisees. Financially, this has limited impact on its GPM (on transactions with franchisees) and group revenue, despite some technically shifted components in GP dollars. We model non-GAAP OPM of ~17% in 2Q26E, largely flat QoQ (1Q26: 17.1%) and down YoY (vs. 19.8% in 2Q25). Excluding an estimated ~Rmb40m of SBC, we expect non-GAAP NP to reach ~Rmb500m in 2Q26E (vs. Rmb507m in 1Q26). Unlike most other listed on-premise fresh tea players (who should face a high comp base in 2H26E due to their significant benefit from the 2H25 delivery platforms' price war), Chagee will have a low comp base in 2H26E due to its limited participation. We believe the conversion of its ~400 China franchised stores to DTC was largely completed by end-2025. We expect its YoY same-store GMV decline to narrow in 3Q26E before turning positive in 4Q26E.

Target price & estimates reductions — We lower 2026E/27E non-GAAP NP by 25%/30%, given 18%/27% cuts in '26E/27E sales (on a slower-than-expected 1H SSS recovery and reset of 2026 net store opening plan to ~300 in China) and operating deleveraging. We forecast sales to stay flat YoY and non-GAAP NP to decline 5% YoY in '26E. Our DCF-based TP (on 17.0% WACC and 2% terminal growth rate) is lowered to US\$15.2 (from US\$24.6).

Earnings Summary

Year to 31 Dec	Net Profit (RmbM)	Diluted EPS (Rmb)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	2,517	14.904	210.2	5.3	3.7	103.1	na
2025A	1,895	11.503	-22.8	6.8	2.0	34.7	8.2
2026E	1,808	9.383	-18.4	8.4	1.9	23.9	8.3
2027E	1,940	10.069	7.3	7.8	1.8	23.9	8.3
2028E	2,012	10.442	3.7	7.5	1.7	23.1	8.3

Source: Powered by dataCentral

Buy / High Risk

Price (20 Jul 26 16:00)	US\$11.58
Target price	US\$15.20↓ from US\$24.60
Expected share price return	31.3%
Expected dividend yield	8.3%
Expected total return	39.6%
Market Cap	US\$2,209M

Price Performance (RIC: CHA.O, BB: CHA US)



Xiaopo Wei, CFA^{AC}

+852-2501-2472
xiaopo.wei@citi.com

Vincent Young

+852-2501-2738
vincent.young@citi.com

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

CHA.O: Fiscal year end 31-Dec						Price: US\$11.58; TP: US\$15.20; Market Cap: US\$2,209m; Recomm: Buy/High Risk					
Profit & Loss (Rmbm)	2024	2025	2026E	2027E	2028E	Valuation ratios	2024	2025	2026E	2027E	2028E
Sales revenue	12,406	12,907	12,969	13,631	14,435	PE (x)	5.3	6.8	8.4	7.8	7.5
Cost of sales	-6,257	-6,001	-5,967	-6,228	-6,543	PB (x)	3.7	2.0	1.9	1.8	1.7
Gross profit	6,149	6,906	7,002	7,404	7,892	EV/EBITDA (x)	3.8	5.7	3.0	2.8	2.5
Gross Margin (%)	49.6	53.5	54.0	54.3	54.7	FCF yield (%)	19.7	9.4	9.6	11.4	12.0
EBITDA (Adj)	2,948	1,494	2,333	2,418	2,525	Dividend yield (%)	na	8.2	8.3	8.3	8.3
EBITDA Margin (Adj) (%)	23.8	11.6	18.0	17.7	17.5	Payout ratio (%)	0	56	69	65	62
Depreciation	-61	-146	-139	-133	-141	ROE (%)	103.1	21.4	23.3	23.4	22.6
Amortisation	0	0	-90	0	0	Cashflow (Rmbm)	2024	2025	2026E	2027E	2028E
EBIT (Adj)	2,887	1,347	2,104	2,285	2,384	EBITDA	2,948	1,494	2,333	2,418	2,525
EBIT Margin (Adj) (%)	23.3	10.4	16.2	16.8	16.5	Working capital	382	-293	-578	-149	-192
Net interest	37	147	196	206	220	Other	-492	428	-193	-434	-411
Associates	0	0	0	0	0	Operating cashflow	2,838	1,629	1,562	1,834	1,921
Non-Op/Except/Other Adj	118	123	0	0	0	Capex	-226	-417	-110	-110	-110
Pre-tax profit	3,042	1,618	2,300	2,491	2,603	Net acq/disposals	-16	-35	0	0	0
Tax	-528	-432	-480	-511	-534	Other	12	-373	259	0	0
Extraord./Min.Int./Pref.div.	2	-15	-52	-80	-97	Investing cashflow	-229	-825	149	-110	-110
Reported net profit	2,516	1,171	1,768	1,900	1,972	Dividends paid	-1	0	0	0	0
Net Margin (%)	20.3	9.1	13.6	13.9	13.7	Financing cashflow	-174	2,047	-1,240	-1,240	-1,240
Core NPAT	2,517	1,895	1,808	1,940	2,012	Net change in cash	2,446	2,850	471	485	571
Per share data	2024	2025	2026E	2027E	2028E	Free cashflow to s/holders	2,612	1,212	1,452	1,724	1,811
Reported EPS (Rmb)	14.900	7.110	9.175	9.862	10.234						
Core EPS (Rmb)	14.904	11.503	9.383	10.069	10.442						
DPS (Rmb)	0	6.464	6.500	6.500	6.500						
CFPS (Rmb)	16.804	9.889	8.104	9.520	9.970						
FCFPS (Rmb)	15.469	7.357	7.533	8.949	9.399						
BVPS (Rmb)	21.246	38.486	40.982	44.024	47.352						
Wtd avg ord shares (m)	169	162	191	191	191						
Wtd avg diluted shares (m)	169	165	193	193	193						
Growth rates	2024	2025	2026E	2027E	2028E						
Sales revenue (%)	167.4	4.0	0.5	5.1	5.9						
EBIT (Adj) (%)	168.7	-53.3	56.2	8.6	4.3						
Core NPAT (%)	210.2	-24.7	-4.6	7.3	3.7						
Core EPS (%)	210.2	-22.8	-18.4	7.3	3.7						
Balance Sheet (Rmbm)	2024	2025	2026E	2027E	2028E						
Cash & cash equiv.	4,869	7,993	8,114	8,599	9,170						
Accounts receivables	122	146	78	81	85						
Inventory	132	228	187	228	273						
Net fixed & other tangibles	1,044	2,262	2,337	2,520	2,646						
Goodwill & intangibles	20	110	20	20	20						
Financial & other assets	409	724	312	322	333						
Total assets	6,596	11,463	11,048	11,770	12,528						
Accounts payable	597	630	483	504	530						
Short-term debt	0	0	0	0	0						
Long-term debt	0	0	0	0	0						
Provisions & other liab	2,311	3,256	2,460	2,500	2,500						
Total liabilities	2,908	3,886	2,943	3,004	3,030						
Shareholders' equity	3,588	7,342	7,818	8,398	9,033						
Minority interests	101	235	287	368	465						
Total equity	3,688	7,577	8,105	8,766	9,498						
Net debt (Adj)	-4,869	-7,993	-8,114	-8,599	-9,170						
Net debt to equity (Adj) (%)	-132.0	-105.5	-100.1	-98.1	-96.5						

For definitions of the items in this table, please click [here](#).

Estimates revisions

Figure 1. Estimates revision

New	GMV (Rmb m)	Chg (%)	Sales (Rmb m)	Chg (%)	Non-GAAP NP (Rmb m)	Chg (%)
2026E	31,222	-14.6%	12,969	-18.0%	1,808	-24.5%
2027E	32,501	-19.7%	13,631	-26.8%	1,940	-30.3%
2028E	34,031	New	14,435	New	2,012	New
Previous						
2026E	36,551		15,807		2,396	
2027E	40,463		18,609		2,782	

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Source: Citi Research

We lower 2026E/27E non-GAAP NP estimates by 25%/30%, given 18%/27% cuts in '26E/27E sales (on a slower-than-expected 1H SSS recovery and reset of 2026 net store opening plan to ~300 in China) and operating deleveraging. We forecast sales to stay flat YoY and non-GAAP NP to decline 5% YoY in '26E.

Target price revision

Figure 2. Chagee - DCF valuation

	FY26	FY27	FY28	FY29	FY30	FY31	FY32	FY33	FY34	FY35	Terminal
EBITDA	2,333	2,418	2,525	2,652	2,774	3,005	3,187	3,282	3,428	3,577	
Add: Chg in Working Capital	(578)	(149)	(192)	(196)	(199)	(203)	(210)	(210)	(205)	(197)	
Less: Capex	(110)	(110)	(110)	(111)	(112)	(113)	(114)	(115)	(116)	(117)	
Less: Cash tax paid	(480)	(511)	(534)	(562)	(591)	(642)	(684)	(708)	(743)	(778)	
Free Operating Cashflow	1,165	1,648	1,689	1,784	1,872	2,046	2,179	2,249	2,364	2,485	16,898
PV of free operating cashflow	1,165	1,409	1,234	1,114	999	933	849	749	673	605	4,113
WACC	17.0%										
Risk-free Rate	4.5%										
Adjusted beta	1.25										
Market Risk Premium	10.0%										
Cost of Equity	17.0%										
After-tax Cost of Debt	6.5%										
Target Equity Percentage	100%										
Target Debt Percentage	0%										
Assumed Long-term Growth Rate	2.0%										
Enterprise value	12,678										
Add : Cash	8,114										
Less: Debt	-										
Less: Minorities	(287)										
Equity Value (Rmbm)	20,793										
Forward US\$/Rmb	7.10										
Equity Value (US\$)	2,929										
Weighted average share count (m)	193										
Equity Value Per Share as of end-2026 (USD)	15.20										
Implied P/E (x)	12										

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Source: Citi Research Estimates

We forecast Chagee's free cash flow up to 2035E and discount back to end-2026E. We use a beta of 1.25 in our WACC calculation. Assuming a 17.0% WACC (revised from 17.2% previously to reflect a different risk-free rate) and a 2% terminal growth rate, we arrive at a DCF-derived target price of US\$15.2 (vs US\$24.6 previously). Our TP reduction reflects our lowered NP expectations for 2026E/27E and our more cautious free cash flow growth expectations. Our target price implies 12x 2026E P/E, which is at par with the average trading multiple of other HK-listed on-premise fresh tea players in China.

Bull/Bear: Chagee Holdings (CHA.O)

US\$ **19.20**
▲ 66% Upside

US\$ **15.20**
▲ 31% Upside

US\$ **9.20**
▼ 21% Downside



Spread 86pp
Current Price and expected returns (upside/downside) as of 20 Jul 2026

BULL Assumptions

- Sales grows 5% YoY in 26E
- EBIT margin arrives at 17.2% in 26E

BASE Assumptions

- Sales stays YoY flat in 26E
- EBIT margin arrives at 16.2% in 26E

BEAR Assumptions

- Sales declines 6% YoY in 26E
- EBIT margin arrives at 15.2% in 26E

Chagee Holdings

Company description

Chagee is China's largest, fastest-growing, and most popular premium freshly-made tea drinks brand (i.e. at ASP of Rmb17.0/US\$2.5+ per cup, per definition of iResearch), on 2024 data. As of end-1Q25, the company had 6,681 stores, with 6,512 located in China and 169 in overseas markets.

Investment strategy

We rate Chagee shares as Buy / High Risk. In analyzing China's fresh-made tea drink industry, we have found meaningful comparisons with the decade-long consolidation process seen in China's sportswear sector, which also has a franchise-dominant model. In that context, we prefer both the biggest-scale leader in the value segment (which is filled with penetration and price competition) and the most deeply entrenched player in the premium segment (which is fueled by consumers' repurchases and loyalty). As the leader in the premium segment, Chagee well differentiates itself from most value players with its solid long-term product strategy (simple core menu), managed franchise model (with technology-powered "Five Things Online"), strong brand equity (via social-media marketing), and high efficiency (via automation and standardization), in our view.

Valuation

We use a discounted cashflow (DCF) methodology to value Chagee, given the company's development stage (with earnings likely weighted towards future periods), cyclical SSSG velocity, sustainable long-term growth outlook, strong operating efficiency record which should underpin that sustainable growth, and certain challenges with HK/China peer valuation metrics. We forecast Chagee's free cash flow up to 2035E and discount back to end-2026E. We use a beta of 1.25 in our WACC calculation. With a 17.0% WACC and 2% terminal growth rate, we arrive at a DCF-derived target price of US\$15.2. Our target price implies 12x 2026E P/E.

Risks

We rate Chagee shares as High Risk given its relatively short trading history (IPO in April 2025) as well as the impact of the risk factors cited below.

Key downside risks that could prevent the shares from achieving our target price include: (1) intense industry competition, with many freshly-made tea drinks and other beverage outlets vying for consumers; (2) limited operating history, as the company commenced its operations in 2017 and has grown rapidly in recent years; (3) the challenges of catering to evolving consumer preferences and tastes; (4) management of franchise partners; (5) lack of a formal dividend policy or fixed dividend distribution ratio; and (5) uncertain macro environment and risks to consumer demand in a scenario of slowing economic growth in China.

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Appendix A-1

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Chagee Holdings (CHA)

Ratings and Target Price History

Fundamental Research

Analyst: Xiaopo Wei, CFA



	Date	Rating	Target Price	Closing Price
1	04-Jun-25 06:54:07	*1H	*43.70	32.87
2	04-Aug-25 05:22:51	1H	*35.40	20.32

*Indicates Change

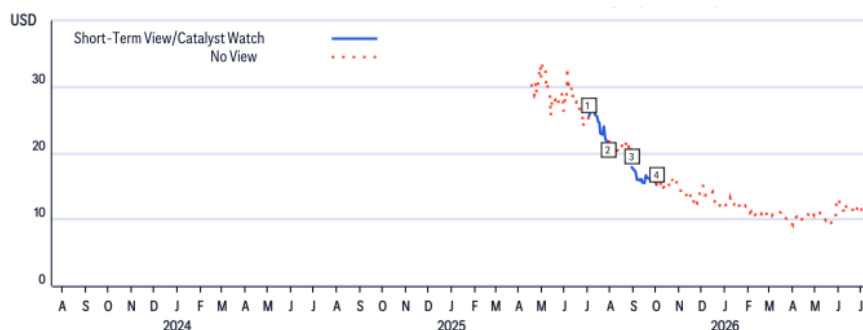
	Date	Rating	Target Price	Closing Price
3	01-Sep-25 01:03:58	1H	*29.50	17.90
4	30-Nov-25 21:34:58	1H	*24.60	14.04

Rating/target price changes above reflect Eastern Time

Chagee Holdings (CHA)

Short-Term View/Catalyst Watch Research

Analyst: Xiaopo Wei, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	06-Jul-25 23:55:37	Add CW	Upside	30 Days	25.58
2	29-Jul-25 16:09:15	Remove CW	Upside	30 Days	21.65

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
3	31-Aug-25 21:03:58	Add STV	Downside	30 Days	17.90
4	01-Oct-25 12:14:32	Remove STV	Downside	30 Days	15.23

Rating/target price changes above reflect Eastern Time

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Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
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Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

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